

dong from 2006 to 2011. Vinamilk was able to raise prices due to its dominant brands and grow its revenues in U.S. dollar terms at an average yearly rate of 18%, while improving its margins during a difficult period for the Vietnamese economy.

CURRENCY RISK

In assessing international investments, it is important for U.S. investors to make sure all returns are calculated and measured in U.S. dollars. If returns were measured solely in local currency, with inflation running at levels upward of 50% in places like Argentina, Venezuela, and Zimbabwe in the early 2020s, local bonds may appear to offer annual returns as high as 50% in nominal terms, but those returns can disappear when measured in U.S. dollars. Indeed, these high yields reflect an expectation of devaluation. In other words, an analyst must adjust expected returns to reflect the differential in inflation rates between the analyst's base currency (which means the U.S. dollar for U.S. investors) and the local currency. Over long periods, local currencies should theoretically depreciate at this differential. Of course, other variables, such as differentials in real interest rates, changes in terms of trade (the relative prices of exports to imports), and other capital flows, will influence changes in exchange rates, but this simple approximation provides a good baseline.

Foreign exchange risk is something that all international investors need to think about. These risks can be hedged, but as with all forms of insurance, currency hedging involves a cost or premium. These costs or premia are lowest before the storm, when they are most necessary, and most expensive right after the storm, when they are least needed. We are not recommending that investors hedge all their currency exposures, only that all investors be mindful of currency when investing outside their home markets.